



SUCCESS

through

SUSTAINABILITY

**INTERIM FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 31ST MARCH 2023**

Consolidated Statement of Profit or Loss and Other Comprehensive Income

(Rs.Mns)	Three months ended 31st March			Twelve months ended 31st March		
	2023	2022	Change	2023	2022	Change
	Unaudited	Unaudited		Unaudited	Audited	
Continuing operations						
Revenue	1,225.94	1,499.77	-18%	7,458.21	5,992.28	24%
Cost of sales	(870.36)	(1,023.90)	15%	(3,847.41)	(3,883.74)	1%
Gross profit	355.58	475.87	-25%	3,610.80	2,108.54	71%
Other income	21.33	15.84	35%	55.13	57.20	-4%
Distribution expenses	(68.01)	(72.07)	6%	(240.77)	(169.93)	-42%
Administration expenses	(137.94)	(96.49)	-43%	(457.36)	(366.16)	-25%
Other expenses	-	(1.54)	100%	-	(1.54)	100%
Net finance income/(costs)	35.56	(575.86)	106%	(619.37)	(830.72)	25%
Profit/(loss) before tax	206.52	(254.25)	181%	2,348.43	797.39	195%
Income tax expense (charge)/reversal	(60.98)	24.22	-352%	(688.72)	(190.67)	-261%
Profit/(loss) from continuing operations	145.53	(230.03)	163%	1,659.70	606.72	174%
Discontinued operations						
Profit/(loss) from discontinued operations (net of tax)	(0.45)	0.15	-397%	(0.30)	0.14	-311%
Profit/(loss) for the period	145.09	(229.88)	163%	1,659.41	606.86	173%
Other comprehensive income:						
Items that will never be reclassified to profit or loss						
Revaluation gain on right of use assets	-	36.84	-100%	-	36.84	-100%
Revaluation gain on property, plant and equipment	-	737.60	-100%	-	737.60	-100%
Deferred tax impact on revaluation reserve due to rate change	-	(127.03)	100%	(128.43)	(127.03)	-1%
Actuarial gain/(loss) on defined benefit obligations	(1.64)	(4.47)	63%	(1.64)	(4.47)	63%
Deferred tax impact on actuarial loss	0.49	0.80	-38%	0.49	0.80	-38%
Other comprehensive income, net of tax	(1.15)	643.74	-100%	(129.58)	643.74	-120%
Total comprehensive income	143.94	413.86	-65%	1,529.83	1,250.60	22%
Profit attributable to :						
Owners of the parent	144.72	(226.44)	164%	1,669.42	618.91	170%
Non-controlling interests	0.37	(3.44)	111%	(10.01)	(12.05)	17%
	145.09	(229.88)	163%	1,659.41	606.86	173%
Total comprehensive income attributable to :						
Owners of the parent	143.57	417.30	-66%	1,539.84	1,262.65	22%
Non-controlling interests	0.37	(3.44)	111%	(10.01)	(12.05)	17%
	143.94	413.86	-65%	1,529.83	1,250.60	22%
Basic earnings/(loss) per share (Rs.)	0.30	(0.56)	153%	3.42	1.52	125%

The above figures are provisional and subject to audit.

Figures in brackets indicate deductions.

(Rs.Mns)	Three months ended 31st March			Twelve months ended 31st March		
	2023	2022	Change	2023	2022	Change
	Unaudited	Unaudited		Unaudited	Audited	
Revenue	977.21	1,438.89	-32%	5,810.15	4,408.78	32%
Cost of sales	(668.83)	(983.90)	32%	(3,058.63)	(3,028.02)	-1%
Gross profit	308.38	454.99	-32%	2,751.52	1,380.76	99%
Other income	36.38	62.45	-42%	72.10	209.60	-66%
Distribution expenses	(37.17)	(55.26)	33%	(124.92)	(119.33)	-5%
Administration expenses	(102.71)	(71.78)	-43%	(327.99)	(252.57)	-30%
Other expenses	-	-	-	-	-	-
Net finance income/(costs)	30.30	(578.19)	105%	(619.27)	(824.22)	25%
Profit/(loss) before tax	235.19	(187.79)	225%	1,751.45	394.24	344%
Income tax expense (charge)/reversal	(59.62)	35.20	-269%	(565.92)	(72.64)	-679%
Profit/(loss) for the period	175.57	(152.59)	215%	1,185.53	321.60	269%
Other comprehensive income:						
Items that will never be reclassified to profit or loss						
Revaluation gain on right of use assets	-	21.23	-100%	-	21.23	-100%
Revaluation gain on property, plant and equipment	-	643.99	-100%	-	643.99	-100%
Deferred tax impact on revaluation reserve due to rate change	-	(107.37)	100%	(128.43)	(107.37)	-20%
Actuarial gain/(loss) on defined benefit obligations	(1.63)	(4.45)	63%	(1.63)	(4.45)	63%
Deferred tax impact on actuarial loss	0.49	0.80	-39%	0.49	0.80	-39%
Other comprehensive income, net of tax	(1.14)	554.20	-100%	(129.57)	554.20	-100%
Total comprehensive income	174.43	401.61	-57%	1,055.96	875.80	21%
Profit attributable to :						
Owners of the parent	175.57	(152.59)	215%	1,185.53	321.60	269%
Non-controlling interests	-	-	-	-	-	-
	175.57	(152.59)	215%	1,185.53	321.60	269%
Total comprehensive income attributable to :						
Owners of the parent	174.43	401.61	-57%	1,055.96	875.80	21%
Non-controlling interests	-	-	-	-	-	-
	174.43	401.61	-57%	1,055.96	875.80	21%
Basic earnings/(loss) per share (Rs.)	0.36	(0.37)	196%	2.43	0.79	208%

The above figures are provisional and subject to audit.
Figures in brackets indicate deductions.

	Group		Company	
	As at	As at	As at	As at
	31/03/2023	31/03/2022	31/03/2023	31/03/2022
(Rs.Mns)	Unaudited	Audited	Unaudited	Audited
ASSETS				
Non-current assets				
Property, plant and equipment	3,285.91	3,299.49	2,963.13	2,949.09
Right of use asset	66.34	75.92	22.23	23.00
Intangible assets and goodwill	109.21	110.74	2.40	3.88
Investment property	-	-	211.50	211.59
Investments in subsidiaries	-	-	184.78	184.78
Investment securities	847.79	-	524.89	-
Deferred tax assets	8.29	4.19	-	-
	4,317.55	3,490.34	3,908.93	3,372.34
Current assets				
Inventories	2,632.20	2,298.29	1,685.74	1,962.71
Trade and other receivables	792.73	362.62	449.83	235.01
Subsidy receivable	389.51	3,038.36	351.94	2,844.39
Amount due from related companies	-	-	893.43	602.61
Current tax receivable	-	2.98	-	1.69
Cash and cash equivalents	634.40	409.41	537.79	72.16
	4,448.84	6,111.66	3,918.72	5,718.57
Assets classified as held for sale	180.65	180.82	-	-
Total current assets	4,629.49	6,292.48	3,918.72	5,718.57
Total assets	8,947.04	9,782.82	7,827.65	9,090.91
EQUITY AND LIABILITIES				
Equity				
Stated capital	2,007.86	2,007.86	2,007.86	2,007.86
Revaluation reserve	1,337.96	1,466.39	760.45	888.88
Retained earnings	3,841.38	2,173.09	3,527.49	2,343.09
Equity attributable to owners of the parent	7,187.20	5,647.34	6,295.79	5,239.83
Non-controlling interests	20.63	30.65	-	-
Total equity	7,207.83	5,677.99	6,295.79	5,239.83
Non-current liabilities				
Employee benefits	47.01	42.56	46.90	42.48
Deferred tax liabilities	713.34	546.64	644.61	491.42
Loans and borrowings	13.60	151.00	13.60	151.00
Lease liability	15.71	24.52	2.05	2.02
	789.66	764.72	707.15	686.92
Current liabilities				
Trade and other payables	172.51	3,043.46	148.00	2,880.25
Loans and borrowings	137.40	180.40	137.40	176.28
Lease liability	8.95	8.90	0.29	0.03
Amount due to related companies	-	-	0.03	54.65
Current tax liabilities	616.05	47.55	538.98	-
Bank overdrafts	14.31	59.53	-	52.95
	949.22	3,339.84	824.70	3,164.16
Liabilities classified as held for sale	0.33	0.27	-	-
Total current liabilities	949.55	3,340.11	824.70	3,164.16
Total liabilities	1,739.21	4,104.83	1,531.85	3,851.08
Total equity and liabilities	8,947.04	9,782.82	7,827.65	9,090.91
Net assets per share (Rs.)	14.74	11.58	12.91	10.75

The above figures are provisional and subject to audit.
Figures in brackets indicate deductions.

I certify that these financial statements have been prepared in compliance with the requirements of the Companies Act No.7 of 2007.

Sgd.
Sakitha Lakshan
Manager - Finance

The Board of Directors is responsible for the preparation and presentation of these financial statements.
Signed for and on behalf of the Board;

Sgd.
R S I Gunawardena
Executive Chairman

Sgd.
A P Weerasekera
Managing Director

May 26, 2023

Statement of Changes in Equity

(Rs.Mns)

	Group				
	Equity attributable to owners of the parent				Non-controlling interests
	Stated capital	Revaluation reserve	Retained earnings	Total	
Balance as at 1st April 2021	1,204.09	818.98	1,622.85	3,645.92	42.70
Profit for the period	-	-	618.92	618.92	(12.05)
Other comprehensive income for the period	-	647.41	(3.68)	643.72	-
Total comprehensive income for the period	-	647.41	615.24	1,262.64	(12.05)
Right issue	803.76			803.76	
Dividend	-	-	(65.00)	(65.00)	
Balance as at 31st March 2022	2,007.86	1,466.39	2,173.09	5,647.32	30.65
Balance as at 1st April 2022	2,007.86	1,466.39	2,173.09	5,647.32	30.65
Profit for the year	-	-	1,669.42	1,669.42	(10.01)
Other comprehensive income for the period	-	(128.43)	(1.13)	(129.56)	-
Total comprehensive income for the period	-	(128.43)	1,668.29	1,539.86	(10.01)
Balance as at 31st March 2023	2,007.86	1,337.96	3,841.38	7,187.18	20.64

	Company			
	Stated capital	Revaluation reserve	Retained earnings	Total equity
Balance as at 1st April 2021	1,204.09	331.03	2,090.16	3,625.28
Profit for the year	-	-	321.60	321.60
Other comprehensive income for the period	-	557.85	(3.65)	554.20
Total comprehensive income for the period	-	557.85	317.95	875.80
Right Issue	803.76			
Dividend			(65.00)	(65.00)
Balance as at 31st March 2022	2,007.86	888.88	2,343.11	4,436.08
Balance as at 1st April 2022	2,007.86	888.88	2,343.11	5,239.85
Profit for the year	-	-	1,185.53	1,185.53
Other comprehensive income for the period	-	(128.43)	(1.15)	(129.58)
Total comprehensive income for the period	-	(128.43)	1,184.38	1,055.95
Balance as at 31st March 2023	2,007.86	760.45	3,527.49	6,295.80

The above figures are provisional and subject to audit.
Figures in brackets indicate deductions.

AgStar PLC
Statement of Cashflows



For the period ended 31st March, (Rs.Mns)	Group		Company	
	2023	2022	2023	2022
	Unaudited	Audited	Unaudited	Audited
Cash flow from operating activities				
Profit before tax from continuing operations	2,348.43	797.40	1,751.45	394.24
Profit/(loss) before tax from discontinued operations	(0.30)	0.14	-	-
Adjustment for:				
Depreciation	106.05	69.35	89.95	54.99
Amortization on intangible assets	1.53	1.50	1.48	1.46
Amortization on right-of-use asset	9.57	10.93	0.77	0.06
Interest income	(156.14)	(13.27)	(124.21)	(5.52)
Interest expenses	161.35	17.93	141.61	13.06
Trade debtors write off	8.52	0.68	4.06	0.08
Change in fair value of investment property	-	-	(14.98)	(46.26)
Amortisation of deferred income	-	(0.66)	-	(0.66)
Dividend income	-	-	-	(100.00)
Subsidy write off	1.56	14.54	1.56	14.54
Provision/(reversal) of impairment on trade receivables	(12.38)	(6.34)	(6.72)	(4.31)
Impairment loss/(reversal) on inventory	1.71	0.42	-	-
Provision for retirement gratuity	7.92	7.19	7.90	7.17
Operating profit before working capital changes	2,477.81	899.81	1,852.88	328.85
Changes in:				
Decrease/ (increase) in inventories	(335.63)	(1,406.10)	276.96	(1,583.21)
Decrease/ (increase) in trade and other receivables	(415.08)	38.07	(203.98)	0.98
(Increase)/decrease in subsidy receivable	2,647.29	967.51	2,490.90	1,161.48
Decrease in amounts due from related companies	-	-	(290.82)	(145.63)
(Decrease)/ increase in trade and other payables	(2,870.88)	(520.32)	(2,732.24)	(384.78)
Increase/(decrease) in amounts due to related companies	-	-	(54.36)	54.65
Cash (used in)/ generated from operating activities	1,503.52	(21.03)	1,339.34	(567.67)
Interest expense paid	(158.74)	(14.26)	(141.32)	(12.78)
Income tax paid	(81.93)	(75.17)	-	-
Employee benefit paid	(5.12)	(2.94)	(5.12)	(2.94)
Net cash flow (used in)/ generated from operating activities	1,257.73	(113.40)	1,192.90	(583.38)
Cash flows from investing activities				
Interest income received	144.33	13.38	116.02	5.69
Dividend income received	-	-	-	100.00
Investment securities	(847.79)	-	(524.89)	-
Acquisition of property, plant and equipment	(21.51)	(50.15)	(17.96)	(39.27)
Addition to work in progress	(70.96)	(178.17)	(70.96)	(178.17)
Acquisition of intangible assets	-	(0.91)	-	(0.75)
Net cash used in investing activities	(795.93)	(215.85)	(497.79)	(112.50)
Cash flows from financing activities				
Proceeds from loans and borrowings	3,880.54	5,425.38	3,787.61	5,036.33
Repayment of loans and borrowings	(4,060.95)	(5,869.38)	(3,963.89)	(5,401.86)
Repayment of lease liabilities	(11.36)	(19.76)	(0.25)	(0.25)
Dividend paid	-	(65.00)	-	(65.00)
Net proceeds from Rights issue	-	803.76	-	803.76
Net cash from / (used in) financing activities	(191.76)	275.01	(176.53)	372.98
Net cash increase/(decrease) in cash and cash equivalents	270.04	(54.24)	518.58	(322.90)
Cash and cash equivalents at the beginning of the year	350.88	405.12	19.20	342.11
Cash and cash equivalents at the end of the period	620.92	350.88	537.78	19.21
Analysis of cash and cash equivalent at the end of the period				
Cash at bank and in hand	198.51	331.91	134.78	23.96
Short term deposits	435.89	77.50	403.00	48.19
Bank overdrafts	(14.31)	(59.52)	-	(52.95)
Cash and cash equivalents classified as held for sale	0.83	1.00	-	-
	620.92	350.88	537.78	19.21

The above figures are provisional and subject to audit.
Figures in brackets indicate deductions.

1 Basis of Preparation

The interim condensed financial statements have been prepared in compliance with Sri Lanka Accounting Standards LKAS 34 - Interim Financial Reporting. These interim condensed financial statements should be read in conjunction with the annual financial statements for the year ended 31st March 2023.

The presentation and classification of the financial statements of the previous year have been amended, where relevant, for better presentation and to be comparable with those of the current year.

The interim condensed financial statements are presented in Sri Lankan Rupees and all values are in Millions, unless otherwise stated.

2 Segment information

Management has determined the operating segments based on the reports reviewed by the Executive Board that are used to make strategic decisions.

Trading - Items which are directly imported and sold without further processing are categorised under this.

Non-trading - This segment includes the items which are further processed before sold.

Rs. Mns	Twelve months ended 31st March 2023			Twelve months ended 31st March 2022		
	Trading	Non-trading	Total	Trading	Non-trading	Total
Revenue	2,741.63	4,716.58	7,458.21	2,048.15	3,944.13	5,992.28
Cost of sales	(1,914.06)	(1,933.35)	(3,847.41)	(1,302.22)	(2,581.52)	(3,883.74)
Gross profit	827.57	2,783.23	3,610.80	745.93	1,362.61	2,108.54
<i>Unallocated expenses</i>						
Distribution expenses			(240.77)			(169.93)
Administrative expenses			(457.36)			(366.16)
Other expenses			-			(1.54)
Other income			55.13			57.20
Operating profit			2,967.79			1,628.11
Net finance income/(cost)			(619.37)			(830.72)
Profit before tax			2,348.43			797.39
Income tax expense (charge)/reversal			(688.72)			(190.67)
Profit for the period from continuing operations			1,659.70			606.72

Since the information on expenses, profit before tax, total assets and liabilities for each reportable segment are not provided to the Executive Board on regular basis, the segmented assets and liabilities are not provided in this report.

3 Stated Capital

		Number of shares	Value of ordinary shares Rs.
As at 31st March 2023	- voting	461,289,465	1,955,067,333
	- non-voting	26,210,535	52,789,500
		487,500,000	2,007,856,833
As at 31st March 2022	- voting	461,289,465	1,955,067,333
	- non-voting	26,210,535	52,789,500
		487,500,000	2,007,856,833

4 Events after the reporting date

There were no material events occurred after the reporting date that require adjustments to, or disclosure in the financial statements.

5 Commitments

There are no material capital or financial commitments outstanding as at the date of the statement of financial position, which require adjustment to or disclosure in the financial statements other than those mentioned below,

Description	Estimated cost	Sq.ft	Completion %
Construction of new warehouse in Ekala	Rs. 380 Mn	85,000	98%
Renovation of bag store and workshop building in Ekala	Rs. 11 Mn	3,895	98%
Construction of warehouse with lab in Polannaruwa	Rs. 35.3 Mn	8,900	95%

6 Contingent liabilities

There are no any material contingent liabilities outstanding as at the reporting date that require adjustments in the financial statements.

Corporate guarantee issued by AgStar PLC

The guarantees given to banks on behalf of AgStar Seeds (Pvt) Limited, AgStar Cropcare (Pvt) Limited, AgStar Grains (Pvt) Limited and Mahaweli Agro Trading (Pvt) Limited amounting to Rs.212 Mn, Rs.129 Mn, Rs.860 Mn and Rs.150 Mn respectively.

Group

The guarantees given to local suppliers and government institutions Rs.23.9 Mn.

AgStar PLC
Notes to the Financial Statements



7 Twenty Major Share holders -Voting shares

As at 31/03/2023		
No	Name of shareholders	Number of shares Holding %
1	Iconic Trust (Private) Limited	201,548,404 43.69%
2	Amana Bank PLC/Browns Investments PLC	60,450,000 13.10%
2.1	Browns Investments PLC	7,370,057 1.60%
3	Sri Lanka Insurance Corporation Ltd-Life Fund	31,472,000 6.82%
3.1	Sri Lanka Insurance Corporation Ltd-General Fund	21,300,000 4.62%
4	Mrs. S.J. Karunaratne	10,000,000 2.17%
5	Mr. A.P. Weerasekera	9,604,036 2.08%
6	Union Assurance PLC -Universal Life Fund	6,912,879 1.50%
7	DFCC Bank PLC A/C NO.02	4,000,000 0.87%
7.1	DFCC Bank PLC A/C NO.01	1,808,385 0.39%
8	DFCC Bank PLC/N Lanka Holding (Pvt) Ltd	3,000,000 0.65%
9	Union Assurance PLC-Traditional Life Participating Fund	3,458,395 0.75%
10	F L M C Plantations (Private) Limited	3,150,000 0.68%
11	Seylan Bank PLC/Gladstone Capital (Pvt) Ltd	3,043,084 0.66%
12	Seylan Bank PLC/Agampodi Chamara Senanka	1,943,600 0.42%
13	Dialog Finance PLC/ R.K.A. Thomas and C.D. Rathnaweera	2,000,000 0.43%
14	EMFI Capital Limited	2,000,000 0.43%
15	Mr. W.A.P. Perera	1,758,866 0.38%
16	Mr. R.A. Rishard	1,725,000 0.37%
17	DFCC Bank PLC Maskeliya Tea Export (Pvt) Ltd	1,637,011 0.35%
18	Mr. S. Sivashanth	1,500,000 0.33%
19	Hatton National Bank PLC/Ruwan Prassana Sugathadasa	1,450,706 0.31%
20	Industrial Asphalts (Ceylon) PLC	1,412,118 0.31%
	Total	382,544,541 82.91%

8 Five Major Share holders -Non -voting shares

As at 31/03/2023		
No	Name of shareholders	Number of shares Holding %
1	Iconic Trust (Private) Limited	17,471,014 66.66%
2	Mr. A.P. Weerasekera	8,736,825 33.33%
3	Mr. A.B. Weerasekera	1,000 -
4	Mr. M.V.M. Gunasekara	519 -
5	Mr. S.P. Sedara	314 -
	Total	26,209,672 99.99%

9 Directors' share holdings**As at 31/03/2023** **As at 31/03/2022**

		Number of shares	Number of shares
Mr. R.S.I. Gunawardena (Executive Chairman)		-	-
Mr. A.P. Weerasekera (Managing Director)	-Voting Shares	9,604,036	11,161,020
	-Non-Voting Shares	8,736,825	8,736,825
Ms. V. G. S. S. Kotakadeniya			
Mr. D.S. K. Amarasekara		-	-
Ms. S. Wickramasinghe		-	-
Mr. R.K.A. Ranaweera		-	-
Dr. (Mrs) A.D.N. de Zoysa		-	-
Mr. W. K. D. T. Abeyrathne		-	-
Mr. E. A. D. N. J. Perera		-	-
Ms. T. A. P. Weerasinghe		-	-
Mr. P. Weerasingha		-	-
Mr. M. S. Gunawardana		-	-

10 Public holding

The percentage of public holding in voting and non-voting shares as at 31st March 2023 were,

	Public holding %	No of Shareholders	Float adjusted market capitalisation
-Voting Shares	28.03%	3,456	Rs. 1,448 Mn
-Non-Voting Shares	0.01%	18	Rs. 0.013 Mn

The float adjusted market capitalization of the Company falls under option-2 as per section 7.14.1 (b) of the Listing Rules of Colombo Stock Exchange and the Company has complied with the minimum public holding requirement applicable under the said option.

11 Market prices

	Voting Rs.	Non-voting Rs.
Highest during the period	17.60	6.20
Lowest during the period	11.20	5.00
As at 31st March 2023	11.20	5.00

The Company

AgStar PLC

Legal Form

A public Quoted Company incorporated
in Sri Lanka on 25th June 2002

Company Registration No.

PV1618 PB/PQ

Registered Office

AgStar PLC
No.93, Minuwangoda Road, Ekala, Ja-Ela.
Tel: +94 11 4812424
Fax: +94 11 4810706
E-mail: info@agstaragri.com
Website: www.agstaragri.lk

Board of Directors

Mr. R.S.I Gunawadena
- Executive Chairman
Mr. A.P. Weerasekera
- Managing Director
Ms. V. G. S. S Kotakadeniya
- Non Executive Director
Mr. D.S.K. Amarasekera
- Non Executive Director
Mr. R.K. Athula Ranaweera
- Independent Non Executive Director
Dr. (Mrs) A.D.N. de Zoysa
- Independent Non Executive Director
Ms. S. Wickramasinghe
- Independent Non Executive Director
Mr. W. K. D. T. Abeyrathne
- Executive Director
Mr. E. A. D. N. J. Perera
- Non Executive Director
Ms. T. A. P. Weerasinghe
- Non Executive Director
Mr. P. Weerasingha
- Executive Director
Mr. M. S. Gunawardana
- Non Executive Director

Secretaries

LOLC Corporate Services (Private) Limited
100/1, Sri Jayawardenapura Mawatha, Rajagiriya
Tel: +94 115 063 000
Fax: +94 112 307 380
E-mail: corporateservices@lolc.com

Registrars

SSP Corporate Services (Private) Limited
101, Inner Flower Road, Colombo 03
Tel: +94 112 573 894
Fax: +94 112 573 609
E-mail: sspsec@sltnet.lk

Auditors

KPMG
P O Box 186
32A, Sir Mohamed Macan Markar Mawatha,
Colombo 03

Bankers

Bank of Ceylon
Commercial Bank of Ceylon PLC
DFCC Vardhana Bank PLC
Hatton National Bank PLC
MCB Bank Limited
Nation Trust Bank PLC
NDB Bank PLC
Peoples' Bank
Public Bank
Sampath Bank PLC
Seylan Bank PLC